

Israel - Prohibition on Money Laundering Obligations and Cash Use Restrictions

Identification and reporting duties, cash use limits, precious stones sector and non-profit oversight

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Applies to corridors	Transactions with origin or destination in IL
Issuing body (simulated)	National Authority for the Prohibition of Money Laundering (simulated)
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Modelled on public sources	Israeli Prohibition on Money Laundering Law framework, the Law for the Reduction of the Use of Cash, and Bank of Israel supervisory orders, publicly available
Classification	SYNTHETIC - HACKATHON TRAINING DATA

This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (Israeli Prohibition on Money Laundering Law framework, the Law for the Reduction of the Use of Cash, and Bank of Israel supervisory orders, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Obligated entities and supervisors

Banking corporations are supervised by the banking supervisor; insurers, provident funds, credit providers and financial asset service providers by the capital markets authority; members of the stock exchange by the securities authority. Dealers in precious stones and metals, lawyers, accountants and trust and company service providers are subject to their own identification obligations under sectoral orders.

Each supervised sector has its own reporting order specifying identification duties, record keeping and the format of reports to the national financial intelligence authority. Where a corridor involves an entity in this jurisdiction, the agent shall consider which sectoral order applies before assessing the adequacy of due diligence.

2. Identification and reporting duties

Situation	Threshold (illustrative)	Requirement
Opening an account or business relationship	Any amount	Identification, verification against official documents, and declaration of the beneficiary and controlling shareholder
Occasional transaction at a financial service provider	From the sectoral order threshold	Full identification and record of purpose
Cash transaction report	Above the sectoral cash threshold	Regular report to the financial intelligence authority
Cross-border transfer report	Above the sectoral transfer threshold	Regular report; corridor and counterparty country recorded

Situation	Threshold (illustrative)	Requirement
Cross-border movement of cash or bearer instruments by traveller	Above the declaration threshold	Mandatory customs declaration; non-declaration is itself an indicator
Unusual activity report	No threshold	Report irrespective of amount where suspicion arises

The declaration of the beneficiary and of the controlling shareholder is a distinct national requirement: the customer signs a declaration identifying the person on whose behalf the action is performed and the person holding control of a corporate customer. A refusal to sign, or a declaration inconsistent with registry data, is a reportable indicator in its own right.

3. Restrictions on the use of cash

National legislation limits settlement in cash. Business transactions may be settled in cash only up to a low statutory ceiling, with a higher ceiling for transactions between private individuals; endorsement of cheques and open cheques are similarly restricted. Splitting a single transaction to remain below a ceiling is treated as evasion.

- Any attempted settlement above the applicable ceiling must be refused and documented, and the attempt evaluated as a laundering indicator.
- Dealers in diamonds, gemstones and precious metals apply identification and record keeping for transactions above the sectoral threshold, and must retain the description, weight or grading reference and the counterparty identity.
- Payments for high-value stones settled between dealers with minimal margin and no evidence of physical movement are treated as a trade-based laundering indicator.

4. Terrorist financing and non-profit oversight

- Domestic designation lists operate in addition to international sanctions lists; screening must cover both, and a match requires immediate freezing and notification.
- Non-profit organisations receiving foreign funding are subject to registration and transparency requirements; transfers to a non-profit without evidenced registration and programme activity require enhanced review.
- Transfers routed to cash collection points or exchange houses near a conflict-affected border require documentary purpose evidence before release.

5. Local red flags

- Customer refusing or repeatedly amending the declaration of beneficiary or controlling shareholder.
- Diamond or gemstone dealer settling successive purchases with counterparties in a foreign trading hub at margins below 2%, with no shipping or vaulting evidence.
- Technology company receiving investment tranches from a multi-layer holding structure whose ultimate owners cannot be corroborated, followed by immediate outbound transfers unrelated to payroll or suppliers.
- Repeated cash settlements just below the statutory business ceiling for the same commercial relationship within a short period.
- Currency service provider client exchanging large sums of foreign banknotes with no declared commercial source.

- Transfers to or from a jurisdiction with no declared commercial link, justified only as a family or charitable transfer, and structured below the reporting threshold.